INFLATION, PRICE INDICES AND BUSINESS CYCLES

THREE PRICE-LEVEL STATES → CPI-WPI-DEFLATOR MATRIX → DEMAND-PULL CHAIN → SUPPLY-SHOCK CHAIN → OUTPUT GAP FORK → EXPECTATIONS LOOP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

00

STAGE 00 THREE PRICE-LEVEL STATES

THREE PRICE-LEVEL STATES | PRICES RISE | PRICES RISE MORE SLOWLY | GENERAL PRICE LEVEL FALLS | RATE CHANGE IS NOT LEVEL CHANGE | MUST REMEMBER | INFLATION IS A SUSTAINED INCREASE IN A CHOSEN PRICE

INFLATION → prices rise

DISINFLATION → prices rise more slowly → **DEFLATION → general price level falls** → **TRAP → rate change is not level change**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• INFLATION → prices rise • DISINFLATION → prices rise more slowly	• DEFLATION → general price level falls • TRAP → rate change is not level change	• MUST REMEMBER: Inflation is a sustained increase in a chosen price index; distinguish... • INFLATION → prices rise

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → rate change is not level change.

01

STAGE 01 CPI-WPI-DEFLATOR MATRIX

CPI-WPI-DEFLATOR MATRIX | RETAIL BASKET + SERVICES | WHOLESALE GOODS, NO SERVICES | GDP DEFLATOR | DOMESTIC FINAL OUTPUT | POLICY ANCHOR | HEADLINE CPI

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CPI → retail basket + services	GDP DEFLATOR → domestic final output	CPI → retail basket + services
WPI → wholesale goods, no services	POLICY ANCHOR → headline CPI	WPI → wholesale goods, no services

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• CPI → retail basket + services • WPI → wholesale goods, no services	• GDP DEFLATOR → domestic final output • POLICY ANCHOR → headline CPI	• CPI → retail basket + services • WPI → wholesale goods, no services

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GDP DEFLATOR → domestic final output; POLICY ANCHOR → headline CPI.

02

STAGE 02 DEMAND-PULL CHAIN

DEMAND-PULL CHAIN | SPENDING AVAILABLE OUTPUT | INVENTORIES AND SPARE CAPACITY SHRINK | FIRMS RAISE PRICES | DEMAND RESTRAINT CAN WORK

SPENDING AVAILABLE OUTPUT

inventories and spare capacity shrink → **firms raise prices** → **POLICY → demand restraint can work**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• SPENDING AVAILABLE OUTPUT • inventories and spare capacity shrink	• firms raise prices • POLICY → demand restraint can work	• SPENDING AVAILABLE OUTPUT • inventories and spare capacity shrink

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: firms raise prices; POLICY → demand restraint can work.

03

STAGE 03 SUPPLY-SHOCK CHAIN

SUPPLY-SHOCK CHAIN | LOGISTICS SHOCK | COSTS OR AVAILABILITY WORSEN | PRICES RISE DESPITE WEAK DEMAND | REPAIR SUPPLY + ANCHOR EXPECTATIONS

CROP / OIL / LOGISTICS SHOCK → **costs or availability worsen** → **prices rise despite weak demand** → **POLICY → repair supply + anchor expectations**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• CROP / OIL / LOGISTICS SHOCK • costs or availability worsen	• prices rise despite weak demand • POLICY → repair supply + anchor expectations	• CROP / OIL / LOGISTICS SHOCK • costs or availability worsen

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: prices rise despite weak demand; POLICY → repair supply + anchor expectations.

04

STAGE 04 OUTPUT GAP FORK

OUTPUT GAP FORK | NEGATIVE GAP | WEAK DEMAND | POSITIVE GAP | OVERHEATING RISK | SUPPLY SHOCK | INFLATION CAN COEXIST WITH NEGATIVE GAP | INFLATION + WEAK GROWTH

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• NEGATIVE GAP → weak demand • POSITIVE GAP → overheating risk	• SUPPLY SHOCK → inflation can coexist with negative gap • STAGFLATION → inflation + weak growth	• NEGATIVE GAP → weak demand • POSITIVE GAP → overheating risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUPPLY SHOCK → inflation can coexist with negative gap.

05

STAGE 05 EXPECTATIONS LOOP

EXPECTATIONS LOOP | PRICE SHOCK | WAGE AND PRICE EXPECTATIONS | SECOND-ROUND ADJUSTMENTS | PERSISTENCE BEYOND INITIAL SHOCK

PRICE SHOCK → **wage and price expectations** → **second-round adjustments** → **persistence beyond initial shock**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• PRICE SHOCK • wage and price expectations	• second-round adjustments • persistence beyond initial shock	• PRICE SHOCK • wage and price expectations

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: wage and price expectations; second-round adjustments; persistence beyond initial shock.

06

STAGE 06 POLICY ASSIGNMENT BOARD

POLICY ASSIGNMENT BOARD | RATES + LIQUIDITY + COMMUNICATION | BUFFERS + TAX + TRADE | LOGISTICS + ENFORCEMENT | TOOL MUST MATCH SHOCK

RBI → rates + liquidity + communication

GOVERNMENT → buffers + tax + trade → **STATES → logistics + enforcement** → **RULE → tool must match shock**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• RBI → rates + liquidity + communication • GOVERNMENT → buffers + tax + trade	• STATES → logistics + enforcement • RULE → tool must match shock	• RBI → rates + liquidity + communication • GOVERNMENT → buffers + tax + trade

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STATES → logistics + enforcement; RULE → tool must match shock.

07

STAGE 07 INDIA SHOCK TIMELINE

INDIA SHOCK TIMELINE | LOCKDOWN LOGISTICS SHOCK | GLOBAL COMMODITY SURGE | FORMAL CPI-TARGETING FRAMEWORK | DEMAND AND SUPPLY CAN CONFLICT

2020 → lockdown logistics shock → **2021-22 → global commodity surge** → **2016 → formal CPI-targeting framework** → **LESSON → demand and supply can conflict**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• 2020 → lockdown logistics shock • 2021-22 → global commodity surge	• 2016 → formal CPI-targeting framework • LESSON → demand and supply can conflict	• 2020 → lockdown logistics shock • 2021-22 → global commodity surge

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 2016 → formal CPI-targeting framework; LESSON → demand and supply can conflict.

08

STAGE 08 DISTRIBUTIONAL INCIDENCE

DISTRIBUTIONAL INCIDENCE | HIGH FOOD AND FUEL SHARE | FIXED INCOME | REAL PURCHASING POWER FALLS | INDEXED WORKERS | PARTIAL PROTECTION | BORROWERS AND MSMES BEAR COSTS

POOR → high food and fuel share

FIXED INCOME → real purchasing power falls → **INDEXED WORKERS → partial protection** → **TIGHTENING → borrowers and MSMEs bear costs**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• POOR → high food and fuel share • FIXED INCOME → real purchasing power falls	• INDEXED WORKERS → partial protection • TIGHTENING → borrowers and MSMEs bear costs	• POOR → high food and fuel share • FIXED INCOME → real purchasing power falls

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INDEXED WORKERS → partial protection; TIGHTENING → borrowers and MSMEs bear costs.

09

STAGE 09 BUSINESS-CYCLE RAIL

BUSINESS-CYCLE RAIL | POLICY DEPENDS ON OUTPUT GAP AND SHOCK | PHILLIPS CURVE | GUIDE, NOT LAW | CLOSE DISTINCTION | PRICE LEVEL IS NOT INFLATION RATE, FALLING INFLATION IS

TROUGH → RECOVERY → EXPANSION → **PEAK → SLOWDOWN / RECESSION** → **POLICY DEPENDS ON output gap and shock** → **PHILLIPS CURVE → guide, not law** → **CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• TROUGH → RECOVERY → EXPANSION • PEAK → SLOWDOWN / RECESSION	• POLICY DEPENDS ON output gap and shock • PHILLIPS CURVE → guide, not law	• CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling... • TROUGH → RECOVERY → EXPANSION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Price level is not inflation rate, falling inflation is not falling.

10

STAGE 10 INDEX-SERIES BREAK

INDEX-SERIES BREAK | CPI 2024=100 | RELEASES FROM JAN 2026 | WPI 2022-23 BASE | MAY 2026 ONWARD | NEW BASKET | NEW INFLATION | NO CASUAL LEVEL SPLICING

CPI 2024=100 → releases from JAN 2026 → **WPI 2022-23 base → MAY 2026 onward** → **NEW BASKET != NEW INFLATION** → **RULE → no casual level splicing** → **EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• CPI 2024=100 → releases from JAN 2026 • WPI 2022-23 base → MAY 2026 onward	• NEW BASKET != NEW INFLATION • RULE → no casual level splicing	• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year... • CPI 2024=100 → releases from JAN 2026

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State index, weights/base, month or year.

11

STAGE 11 INFLATION ANSWER SPINE

INFLATION ANSWER SPINE | IDENTIFY INDEX + COMPONENT | DIAGNOSE DEMAND | TRACE EXPECTATIONS + DISTRIBUTION | PRESCRIBE COORDINATED POLICY MIX

IDENTIFY index + component → **DIAGNOSE demand / cost / supply** → **TRACE expectations + distribution** → **PRESCRIBE coordinated policy mix**

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
• IDENTIFY index + component • DIAGNOSE demand / cost / supply	• TRACE expectations + distribution • PRESCRIBE coordinated policy mix	• IDENTIFY index + component • DIAGNOSE demand / cost / supply

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE expectations + distribution; PRESCRIBE coordinated policy mix.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT | DISTINGUISH FIRST-ROUND SUPPLY SHOCKS FROM SECOND-ROUND GENERALISATION THROUGH WAGES | REAL INTEREST RATE IS APPROXIMATELY THE NOMINAL RATE MINUS | INDEX WEIGHTS, BASE YEARS, OUTLET COVERAGE, QUALITY ADJUSTMENT AND | A CPI OR WPI BASE REVISION CHANGES WEIGHTS, COVERAGE | OUTPUT GAPS HELP EXPLAIN DEMAND PRESSURE BUT ARE UNCERTAIN | FOOD INFLATION IN INDIA HAS STRONG WEATHER, STORAGE, TRADE-POLICY | BUSINESS CYCLES MAY BE DEMAND-LED, FINANCIAL-CYCLE-LED, INVENTORY-LED OR SUPPLY-LED

OPTIONAL SOURCE DEPTH	ADVANCED DEBATE	LEGACY / NUANCE
• CAUTION: Distinguish first-round supply shocks from second-round generalisation through wages,	• CAUTION: Output gaps help explain demand pressure but are uncertain and revised in real time.	• Office of the Economic Adviser: compiles WPI for wholesale goods.
• CAUTION: Real interest rate is approximately the nominal rate minus expected inflation, not	• CAUTION: Food inflation in India has strong weather, storage, trade-policy and inter-state	• RBI and MPC: target headline CPI and calibrate the policy rate and communication.
• CAUTION: Index weights, base years, outlet coverage, quality adjustment and substitution affect	• CAUTION: Business cycles may be demand-led, financial-cycle-led, inventory-led or supply-led,	• Union and state food-management agencies: use stocks, logistics, trade and anti
• CAUTION: A CPI or WPI base revision changes weights, coverage and sometimes method; it is not	• MoSPI: compiles CPI and its consumer-group and spatial components.	• CAUTION: A weather-driven vegetable spike can lift headline CPI even when demand-sensitive core

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels